higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

MARKING GUIDELINE

NATIONAL CERTIFICATE

COST AND MANAGEMENT ACCOUNTING N6

6 JUNE 2019

This marking guideline consists of 8 pages.

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SECTION A

QUESTION 1

1.1
1.1.1 J
1.1.2 A
1.1.3 B
1.1.4 F
1.1.5 C
1.1.6 I
1.1.7 G
1.1.8 E
1.1.9 H
1.1.10 D

(10 × 1) (10)

1.2
1.2.1 True
1.2.2 False
1.2.3 True
1.2.4 True
1.2.5 False

(5 × 1) (5)

1.3 1.3.1 Total cost per unit = [fixed cost + variable cost]/No. of units
= [65 000 + (35 × 12 000)]/12 000
= [65 000 + 420 000]/12 000
= 485 000/12 000
= R40,41✓✓ (2)

1.3.2 Total cost per unit = [fixed cost + variable cost]/No. of units
= [65 000 + (35 × 15 000)]/15 000
= [65 000 + 525 000]/15 000
= 590 000/15 000
= R39,33✓✓ (2)

1.3.3 [(10 000 × 35) + (12 000 × 35) + (14 000 × 35)]
= 350 000✓ + 420 000✓ + 490 000✓
= 1 260 000✓✓✓ (6)

1.4
- The price of the product can easily be determined.
- It presents important information about unit variable overheads and marginal income for decision making.
- Variance from the standard is clearly identifiable.
- It presents valuable information for budgeting.
- As the amount will be applied as a whole, there won't be over or under application of overheads.

(Any relevant 5 × 2) (10)

1.5 1.5.1

Month	Credit sales
February	337 500✓
March	360 000✓
April	315 000✓
May	292 500✓
June	382 500✓

(5)

1.5.2

Month	Bad debts
February	16 875✓
March	18 000✓
April	15 750✓
May	14 625✓
June	19 125✓

(5)

1.6 1.6.1 Direct labour hours
= Applied overheads/R6,50 of recovered overheads
= 380 000✓/5.00✓
= 76 000 hours✓ (3)

1.6.2 Actual overheads = Applied overheads – over recovered cost of sales
= 380 000 – 45 000
= 335 000✓✓ (2)
[50]

TOTAL SECTION A 50

SECTION B

QUESTION 2

2.1 (SP – AP) AQ
= (25 – 35000/1500)1500
= (25✓ – 23,33✓) 1 500✓
= (1,67) 1 500
= 2 500✓F✓
*AP = 35 000/1500
= 23,33 (5)

2.1 (SQ – AQ) SP
= [(250 × 2.5) – 1 000] 25
= (625✓ – 1 000✓) 25✓
= (375)25
= 9 375✓ UN✓ (5)

2.3 (SR – AR)AT
= [60 – (74 400/1 200)] 1 200
= (60✓ – 62✓) 1 200✓
= (2)1 200
= 2 400✓ UN✓ (5)

2.4 (ST –AT) SR
= [(5 × 250) – 1 200] 60
= (1 250✓ – 1 200✓) 60✓
= (50)60
= 3 000✓ F✓ (5)

2.5 BFO -AFO
= 65 300✓ – 55 500✓
=-9 800✓✓ F✓ (5)

2.6 (SR – AR)AT
= [(19 000/800) – (20 000/1 200] 1 200
= (23,75 – 16.66✓) 1 200✓
= (7.09)1 200
= 8 508✓ F✓ (5)
[30]

QUESTION 3

3.1 3.1.1

	T-shirts	Jeans
Expected sales	15 000	10 000
X spu	R45 ✓	R75 ✓
Total sales	675 000 ✓	750 000 ✓

(4)

3.1.2

	T-shirts	Jeans
Sales requirement	15 000	10 000
Add desired closing stock	1 000 ✓	1 200 ✓
Total stock required	16 000 ✓	11 200 ✓
Less opening stock	(1 500) ✓	(800) ✓
Units to be produced	14 500 ✓	10 400 ✓

(8)

3.1.3

	T-shirts	Jeans
Production requirements	14 500 ✓	10 400 ✓
X labour hours per unit	5	6
Total labour hours	72 500 ✓	62 400 ✓
X labour rate per hour	R25	R35
Total labour cost	1 812 500 ✓	2 184 000 ✓

(6)

3.1.4

Variable overheads (units to be produced × R2,50)	24 900 ✓
Fixed overheads	30 000 ✓
Total manufacturing overheads	54 900 ✓

(3)

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3.1.5

Opening balance	35 000 ✓
Cash sales (675 000 + 750 000)	1 425 000 ✓✓
Total receipts	1 460 000 ✓
Payments	
Wages/Labour cost (1 812 500 + 2 184 000)	3 996 500 ✓✓
Manufacturing overheads (24 900 + 30 000)	54 900 ✓
Total payments	4 051 400 ✓
Closing balance (unfavourable)	2 591 400 ✓

(9)
[30]

QUESTION 4

4.1 4.1.1

CONTRACT ACCOUNT

Direct material	200 000 ✓	Certified work	800 000 ✓
Direct labour	400 000 ✓	Uncertified work	300 000 ✓
Manufacturing overheads	700 000 ✓	Profit and loss	600 000 ✓
Subcontractors ' fees	200 000 ✓		
Provision for latent defects	200 000 ✓		
	1 700 000		1 700 000

(8)

4.1.2 $$Cost\ \ incurred\ \ ¿\ \ date \frac{¿}{Total\ \ estimated\ \ costs} \text{ x } \frac{100}{1}$$

$$= \frac{200\,000\ +\ 400\ \ 000\ +\ 700\,000\ +200\,000}{6\ \ 000\ \ 000} \text{ x } \frac{100}{1}$$

= 25%✓✓ (6)

4.1.3 Total estimated profit
= (contract price + extras) – total estimated cost
= (10 000 000 + 800 000)✓ – 6 000 000
= 4 800 000✓ (3)

4.1.4 $$\%\ \ Completed\ \ \ x\ \ \frac{Total\ \ estimated\ \ profit}{1}\ \ x\ \ \frac{Cash\ \ received}{Certified\ \ work}$$

$$=25\%\ \ x\ \ \frac{4\,800\ \ 000}{1} ✓\ x\ \frac{600\,000}{800\,000}$$

= 900 000✓✓✓✓ (8)

4.1.5 Adjusted profit = calculated profit – provision for latent defect
= 900 000 – 200 000
= 700 000✓✓ (2)

4.1.6 No✓
The % of completion is less than 100%✓✓
There is uncertified work.
Total certified work is not yet equal to the contract price plus extras. (3)
[30]

QUESTION 5

5.1 5.1.1

PRODUCTION CONTROL ACCOUNT

Date	Details	Amount	Date	Details	Amount
1/06	Balance	140 000,00 ✓		Finished goods	216 876,00 ✓
	Raw material	62 912,00 ✓			
	Direct labour	130 000,00 ✓			
	Applied overheads	50 329,60 ✓		Balance c/d	166 365,60 ✓
		383 241,60 ✓			383 241,60

(7)

5.1.2

RAW MATERIAL CONTROL ACCOUNT

Date	Details	Amount	Date	Details	Amount
0/06	Balance	110 000✓		Production control	62 912 ✓
				Balance c/d	47 088 ✓
		110 000			110 000

(3)

5.1.3

MANUFACTURING OVERHEADS ACCOUNT

Date	Details	Amount	Date	Details	Amount
	Actual overheads	142 000✓		Applied overheads	50 329,60✓
				Cost of sales (under-recovered)	91 670,40✓

(3)

5.1.4

APPLIED OVERHEADS ACCOUNT

Date	Details	Amount	Date	Details	Amount
	Manufacturing overheads	50 329,60✓		Pro-duction control	50 329,60✓

(2)

5.2 **Cost ledger: Job TG002**

Date	Details	Amount	Date	Details	Amount
	Balance	76 000 ✓		Balance	166 365,60
	Direct material	27 092 ✓			
	Direct labour	41 600 ✓			
	Applied overheads	21 673,60 ✓			
		166 365,60			

(4)

5.3 **Job statement forTG001**

Balance	64 000 ✓
Materials (13 320 + 22 500)	35 820 ✓✓
Direct labour (6 800 × 13)	88 400 ✓✓
Overheads (35 820 × 80%)	28 656 ✓✓
Total production cost	216 876 ✓
Selling and administrative	(-)
Total cost	216 876
Profit 25%	54 219 ✓✓
Selling price	271 095 ✓

(11)
[30]

QUESTION 6

6.1 **INCOME STATEMENT – ABSORPTION METHOD**

Sales (100 000 × 110)	11 000 000 ✓
Less: Manufacturing costs	(527 500) ✓
• Direct material	100 000 ✓
• Direct labour	85 000 ✓
Manufacturing overheads	
• Fixed	42 500 ✓
• Variable (3 × 100 000)	300 000 ✓
Gross profit	**10 472 500** ✓
Less: selling and admin costs	(75 000) ✓
• Fixed	22 500 ✓
• Variable	52 500 ✓
Net profit	**10 397 500** ✓✓

(12)

6.2 6.2.1 MI/U = Selling price per unit – variable cost per unit
= [110 – (52 500/100 000 +100 000/100 000 +85 000/100 000 +3)]
= [110 – 5.37]✓✓✓
= 104,63✓✓ (5)

6.2.2 $BEQ = \frac{TFC}{MI/U}$

$= \frac{65\,000}{104{,}63}$

= 621✓ (3)

6.2.3 BEV = BEQ × SP/U

= 621 × 110

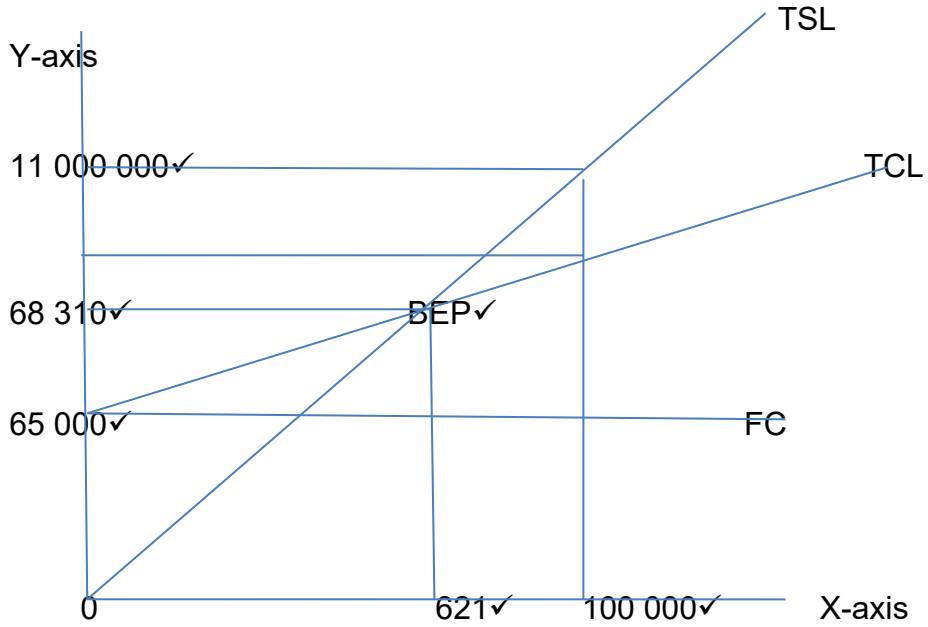
= 68 310✓✓ (2)

6.2.4 Safety Margin in % $= \frac{Total\ sales - break\ even\ value}{Sales} \times \frac{100}{1}$

$= \frac{11\ 000\ 000 - 68\ 310}{11\ 000\ 000} \times \frac{100}{1}$

= 99,37%✓✓ (2)

6.3



(6)
[30]

TOTAL SECTION B: 150
GRAND TOTAL: 200

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